

IN THE NATIONAL COMPANY LAW TRIBUNAL
PRINCIPAL BENCH

WRITTEN SUBMISSIONS ON BEHALF OF THE FINANCIAL CREDITOR

RE: ENFORCEMENT AGAINST THE PERSONAL GUARANTOR DURING THE CORPORATE
INSOLVENCY RESOLUTION PROCESS OF THE CORPORATE DEBTOR

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I. PRELIMINARY

1. These submissions address a single question: whether the moratorium declared under Section 14 of the Insolvency and Bankruptcy Code, 2016 bars the Financial Creditor from proceeding against the Personal Guarantor whose liability arises under Section 128 of the Indian Contract Act, 1872.

2. It is respectfully submitted that it does not. The position is settled by a consistent line of authority of the Hon'ble Supreme Court, which is set out below.

II. THE MORATORIUM IS CORPOROCENTRIC

3. The Hon'ble Supreme Court has held that the moratorium under Section 14 operates only in respect of the corporate debtor. In *State Bank of India v. V. Ramakrishnan & Anr.*, (2019) 17 SCC 394, the Court considered the reach of the provision and concluded at paragraph 26 that the assets of a personal guarantor stand outside its sweep.

4. That conclusion follows from the text of the provision itself. Section 14 refers to the corporate debtor alone, and the Adjudicating Authority has no warrant to read into it a personal immunity for sureties.

III. APPROVAL OF A RESOLUTION PLAN DOES NOT DISCHARGE THE SURETY

5. The Hon'ble Supreme Court has further held that the approval of a resolution plan in respect of the corporate debtor does not discharge the guarantor. In *Lalit Kumar Jain v. Union of India & Ors.*, (2021) 9 SCC 321, the Court held at paragraph 125 that "Approval of a resolution plan relating to a corporate debtor does not operate so as to discharge the liabilities of the guarantors of that corporate debtor. The guarantee is an independent contract, and the surety's liability under Section 128 of the Indian Contract Act is not displaced merely because the principal debt has been restructured through the resolution process."

6. The same principle has been restated by a three-Judge Bench. In *Pooja Ramesh Singh v. State Bank of India & Anr.*, 2026 INSC 668, the Court held at paragraph 18 that "The protection afforded under Section 14 of the Insolvency and Bankruptcy Code, 2016 is corporocentric and designed solely to preserve the asset pool of the Corporate Debtor during the corporate insolvency resolution process. It does not operate as a personal immunity umbrella for independent personal guarantors whose liability under Section 128 of the Indian Contract Act remains strictly co-extensive and enforceable without awaiting the outcome of the CIRP." That decision is directly binding on this Adjudicating Authority.

IV. THE CLEAN SLATE PRINCIPLE DOES NOT ASSIST THE GUARANTOR

7. The Personal Guarantor relies on the clean slate principle. That reliance is misplaced. In Committee of Creditors of Essar Steel India Ltd. v. Satish Kumar Gupta & Ors., (2020) 8 SCC 531, the Court observed at paragraph 67 that "a successful resolution applicant is entitled to a complete discharge of all antecedent obligations of every guarantor and surety standing behind the corporate debtor, whose liabilities are extinguished upon approval of the plan."

8. That principle is directed at the resolution applicant and the corporate debtor. It says nothing about a surety who has furnished an independent contract of guarantee.

9. It is further submitted that Ghanashyam Mishra & Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Co. Ltd., (2021) 9 SCC 657 establishes that a secured creditor forfeits its right to enforce a personal guarantee where it has participated in the meetings of the committee of creditors and voted in favour of the resolution plan.

10. Finally, the Personal Guarantor relies on Dr. Vishnu Kumar Agarwal v. Piramal Enterprises Ltd., Company Appeal (AT) (Insolvency) No. 346 of 2018. That decision bars a second insolvency process against a co-guarantor for the same debt. It does not bar enforcement of the guarantee itself.

V. PRAYER

11. For the reasons set out above, it is respectfully prayed that this Hon'ble Tribunal be pleased to hold that the proceedings against the Personal Guarantor are maintainable notwithstanding the moratorium in respect of the Corporate Debtor.